LITEON · BOARD BRIEFING · 2026.11

Move AI from point solutions into a platform for LITEON



Howard Liao Ph.D.

IT AI Platform Lead | AI strategy, platform blueprint and onboarding plan

Prepared for the Chairman and CIO of LITEON Technology

Dr. Howard Liao
Ph.D. in IT Management · ISO 27001/42001 Lead Auditor

The one-page conclusion: data first, then AI, judged by the P and L

LITEON needs a leader who can turn AI into a platform and show leadership a visible return

I have done three things: connected SAP, MES and PLM data in manufacturing to power AI; turned fragmented systems into platforms with zero downtime; and built ISO 42001 AI governance to put agents into production. These are exactly the three cornerstones of a LITEON AI platform.

Data foundation

A data product layer complementing SAP/PLM/MES; part numbers, BOMs and lot numbers defined consistently worldwide

Shared platform

Model gateway, knowledge base, agent orchestration and monitoring; new use cases launch in weeks instead of months

Governance and value

ISO 42001 governance and human approval; benefits confirmed by the CFO every quarter

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Commitment: within 90 days, an AI value map and financial assumptions for the top 5 use cases

Executive summary: LITEON's needs, my fit, my commitments

Need · Fit · Commitment

LITEON's needs	My fit	My commitment
AI share of revenue above 30% in 2026 and estimated 40–50% in 2027; internal operations must keep up	Multi-plant consolidation: data silos → shared data hub, IT operating cost −25%	Within 90 days, an AI value map and financial assumptions for the top 5 use cases
S/4HANA global go-live on 2027.01.04; AI must complement the new core	SAP Clean Core: custom objects −35%, standard process coverage 90%+	AI extension layer leaves the core untouched: integrates with SAP, PLM and MES via APIs and events
From point AI applications to a reusable platform and data products	Three-tier enterprise AI platform; Agentic AI automation +55%	Platform MVP live in Q2
Business-led, AI-native ways of working	AI workflow training for managers, ISO 42001 governance	30 certified POs in year one

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01

LITEON today

LITEON at an inflection point

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AI revenue is doubling; internal operations must keep up with scale

2026 Q3 investor conference public information

NT$57.4B

2026 Q3 revenue

Up 28% year on year

15.1%

Q3 operating margin

Operating income up 85% year on year

>30%

2026 AI share of revenue

2027 estimated 40–50%

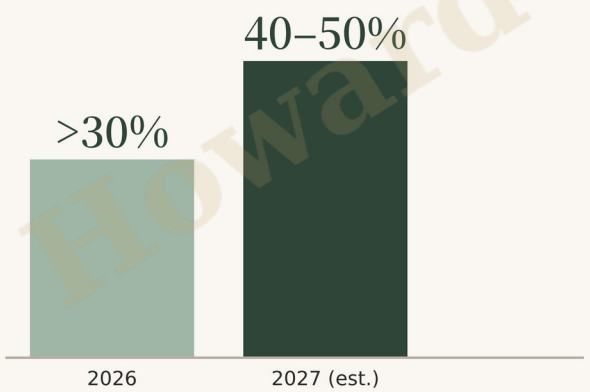
NT$19.7B

2026 capital expenditure

Raised from NT$18B

AI share of revenue

Public outlook from the investor conference



2026 Q3 revenue by segment (NT$100M)

Total revenue NT$57.4B, up 28% year on year

Cloud and IoT	NT$33.8B +57% YoY
IT and consumer electronics	NT$15.5B −6% YoY
Optoelectronics	NT$8.1B +17% YoY

Implication: AI business is growing fast and overseas capacity is doubling; internal supply-chain, manufacturing and quality decisions must use AI to keep up with scale.

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Operating facts and what they mean for the AI platform

Sources: financial media feature report and LITEON's 2026 Q3 investor conference; figures per the official Market Observation Post System.

Area	Key public facts	What it means for the AI platform
Scale	86 subsidiaries, 112 plants, 20+ locations worldwide	Build once and replicate across plants; unify data definitions first
Capacity	Vietnam plant opened 2026.11; Kaohsiung Phase 2 in 2026.12; Texas, USA operating in 2027 Q2	New plants are the best AI pilots: no legacy baggage
Products	8.5kW PSU and BBU in volume production; 110kW Power Shelf, 800VDC Power Rack, 120kW CDU	Rising product complexity means R and D and quality knowledge need AI assistance
ERP	SAP ECC → S/4HANA, global go-live on 2027.01.04; 16 new functions and 27 process improvements	AI must extend outside the Clean Core to avoid re-customization
Manufacturing	MES tightly integrated with ERP: alternate parts, kit readiness, work-order scheduling	The next step is predict, recommend and decide proactively — exactly where agents fit
Finance	After automating consolidated reporting, data integration efficiency improved by over 90%	A data automation foundation already exists and can extend to analytics and prediction
Security	IT/OT security governance framework built on ISO 27001	AI governance can plug directly into ISO 42001

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The problem behind the problem: why shortages really stop the line

Fix structural problems first; only then will models be accurate

Delayed engineering changes

ECNs reach SAP and MES from PLM with a time lag, so the shop floor uses outdated BOMs

Alternate-part specifications are unstructured

Alternate-part approvals are scattered across documents and emails, so systems cannot judge compatibility automatically

Inconsistent definitions across plants

Part numbers, lot numbers and yield are defined differently by each plant, distorting cross-plant comparison and forecasting

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My approach

First build data products (ECN events, an alternate-part specification library, unified definitions), then layer shortage alerts, alternate-part recommendations and kit-readiness checks on top. AI makes recommendations; production control and purchasing approve before anything is written back.

02

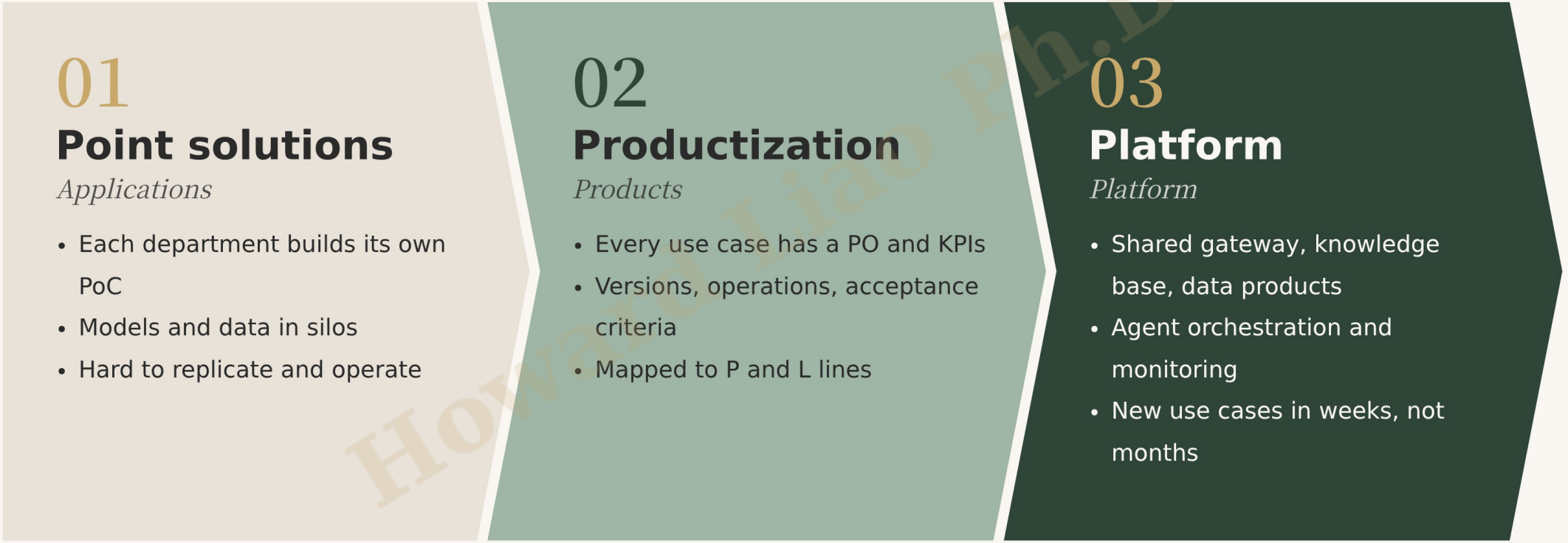
The role and competency fit

The mandate and how I fit

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The mandate: application → product → platform

Own LITEON's overall AI strategy and execution and deliver visible economic value



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Goal: move AI from point solutions to a reusable platform with economic value visible to leadership

Six responsibilities × my approach and onboarding KPIs

Six responsibilities, one operating model

#	Responsibility	My approach	Onboarding KPI
01	Define priority AI domains with senior leadership and plan the AI platform blueprint	Score on three axes — economic value × feasibility × reusability — and set the investment portfolio together with business-group heads; submit to leadership with a one-page decision sheet.	Within 90 days, an AI value map and financial assumptions for the top 5 use cases
02	Turn scattered applications into reusable data products and platforms	Extract shared components — model gateway, knowledge base, data products, agent orchestration and monitoring — and let new use cases launch from templates on a golden path.	New use cases go live in weeks instead of months
03	Build an AI stack that complements SAP, PLM and MES	Keep the SAP core untouched and do not rebuild MES/PLM; read data through APIs, CDC and event streams; AI writes back recommendations that are executed only after human approval.	First supply-chain AI use cases live within 6 months of the S/4HANA go-live
04	Build the AI organization and talent pipeline; lead AI technical leads and engineers	A dual-track organization of central platform + embedded business teams; competency model for technical leads, nine technical career tracks and succession plans.	At least one ready successor for every technical lead
05	Build business-led platform teams and develop internal POs to drive AI-native ways of working	PO Academy: business leaders learn to write use-case financial assumptions and acceptance criteria; Champions network; leaders learn first, IT pilots first, then scale what works.	30 certified POs in year one
06	Report results regularly to senior leadership and business unit heads	Monthly AI value dashboard, quarterly AI investment committee, semi-annual report to the Chairman — in the language of EBITDA, ROI and TCO.	Benefits reviewed openly every quarter, amounts confirmed by the CFO

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Mandatory and preferred requirements: item by item

Requirements check

Mandatory requirements

Requirement	My evidence
No restriction on education or industry background	Ph.D. in IT Management; electronics manufacturing, global software vendors and listed platforms
10+ years leading AI/data teams	CIO leading data and systems teams since 2010; AIoT and AI yield teams since 2018; Agentic AI team since 2025 — 15+ years in total
Led AI platform or product launches with quantifiable results	AI defect prediction: yield +15%, OEE +18%; Agentic AI: automation efficiency +55%

Preferred requirements

Requirement	My evidence
Built AI/data platforms and teams from scratch	Hongyan Technology Edge AIoT data hub and Sheng Xin / Sheng Qi Network AI governance and agent platform, both built from scratch
Communicating with the C-level and senior leadership	Reports directly to the Board and Global CIO; reports in EBITDA, TCO and ROIC
CIO or IT department head experience	15+ years as CIO/CISO/CDAIO/Director of IT
Digital transformation at large domestic enterprises	Multi-plant S/4HANA consolidation, zero-downtime migration of global core services, group central IT architecture

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Technical and managerial competencies

●●● *Led and delivered* ●●○ *Led design or partial delivery*

Technical competencies

AI platform architecture (LLM gateway/RAG/Agent)	●●●
AI in production (manufacturing)	●●●
AI in production (operations)	●●●
Data platforms and data products	●●●
SAP/PLM/MES integration	●●●
Cloud-native and platform engineering	●●●
MLOps/LLMOps	●●○
IT/OT security	●●●
AI governance	●●●

Managerial competencies

Defining priority AI domains	●●●
Budget and investment governance	●●●
Building teams and pipelines	●●●
Business leadership and PO development	●●○
Cross-department change	●●●
Reporting to leadership	●●●
External partners and SI management	●●●
Large-enterprise transformation	●●●

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03

AI platform blueprint

Don't touch the core — augment it

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LITEON AI platform: five layers plus cross-cutting governance

Every use case inherits governance and security automatically

L5	**User access**	Enterprise messaging, portal, AI assistant interface, executive dashboards
L4	**AI products**	Supply-chain planning assistant, quality anomaly agent, R and D knowledge assistant, financial analysis assistant
L3	**Agent orchestration**	Multi-agent orchestration, workflow engine, human-in-the-loop approval
L2	**Models and knowledge**	LLM gateway (multi-model routing, quotas, cost), RAG knowledge base, ML model registry, evaluation
L1	**Data products**	Lakehouse (Bronze/Silver/Gold), master data, feature store, data contracts
L0	**Source systems**	SAP S/4HANA, PLM, MES, APS, QMS, test stations, IoT

Cross-cutting

Governance and security

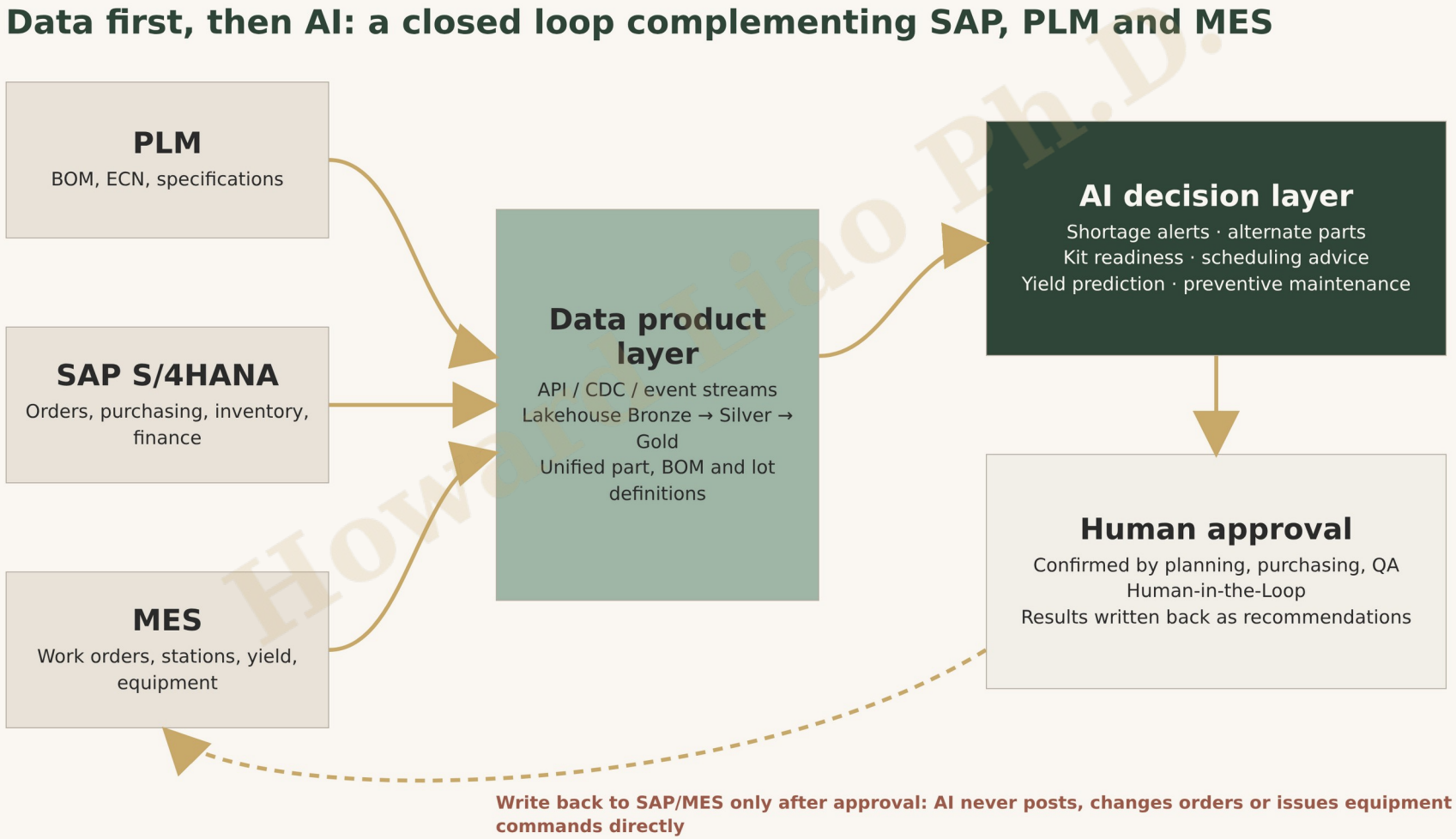
- Identity and access
- Audit logs
- Model monitoring
- Cost allocation
- ISO 42001
- Data classification

Principle: keep the SAP core untouched and do not rebuild MES/PLM — AI reads data, makes recommendations, and acts only after human approval

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Data first, then AI: the closed loop with SAP, PLM and MES

AI recommends; write-back happens only after human approval



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Division of labor with the three core systems, and three platform routes

No single vendor assumed; approved on TCO and data sovereignty

System	Their role: records and transactions	AI platform role: prediction and recommendation
SAP S/4HANA	Orders, purchasing, inventory, financial postings	Demand forecasting, shortage alerts, anomalous transaction detection, month-end analysis
PLM	BOM, ECN, drawing versions	Design knowledge search, alternate-part recommendations, ECN impact analysis
MES	Work-order execution, station records, traceability	Scheduling optimization recommendations, yield prediction, preventive equipment maintenance

SAP-native

Deepest integration with S/4HANA; suited to finance and supply-chain use cases

Public cloud AI services

Wide model choice and fast scaling; data residency and cost must be managed

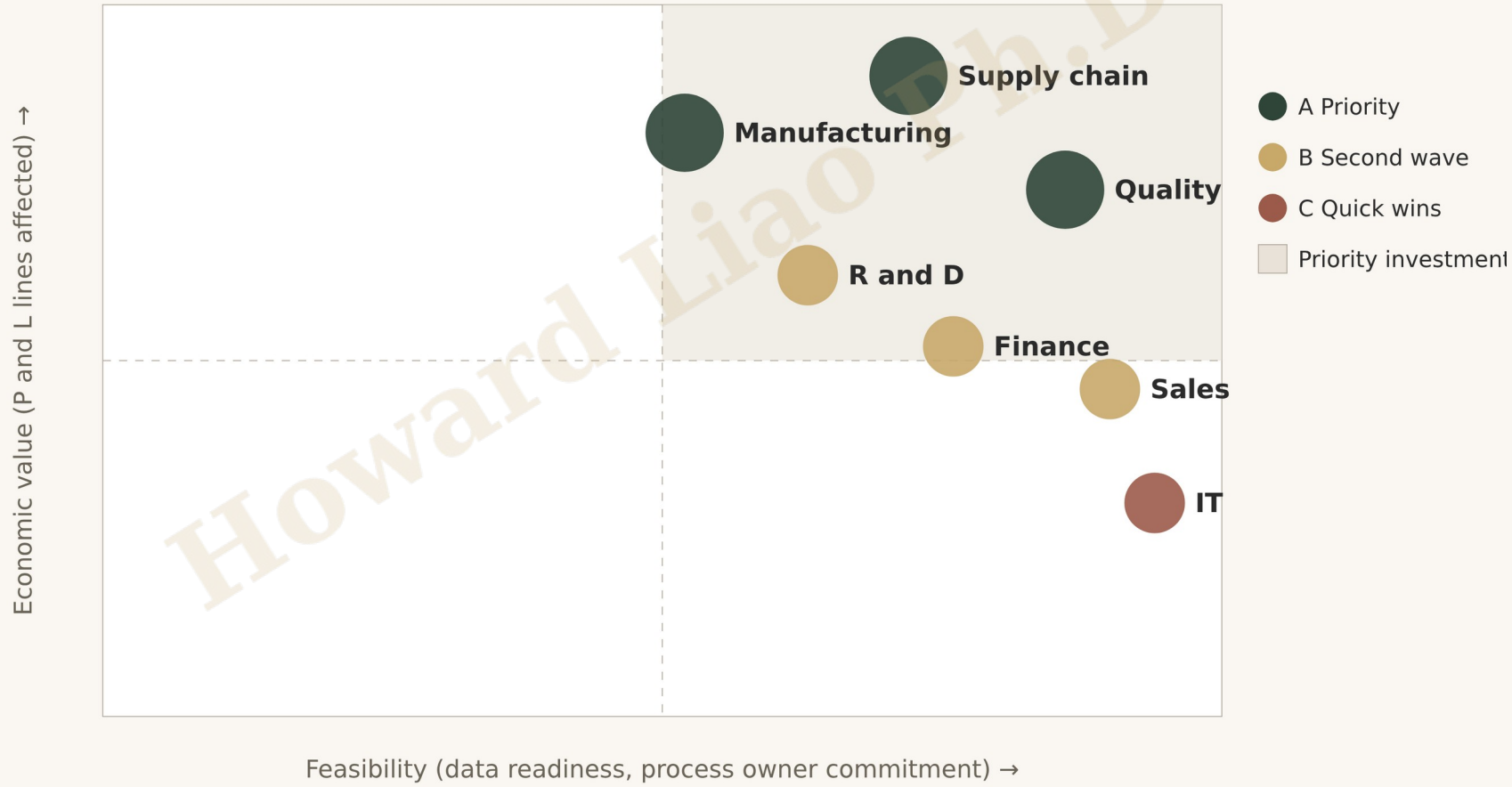
Open-source on-prem

Data stays on site with controllable cost; requires in-house operations capability

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AI use-case portfolio: economic value × feasibility

Set the year-one investment portfolio together with business-group heads



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Priority use cases and the P and L lines they affect

A first draft estimated from public information, to be calibrated with actual data after I join

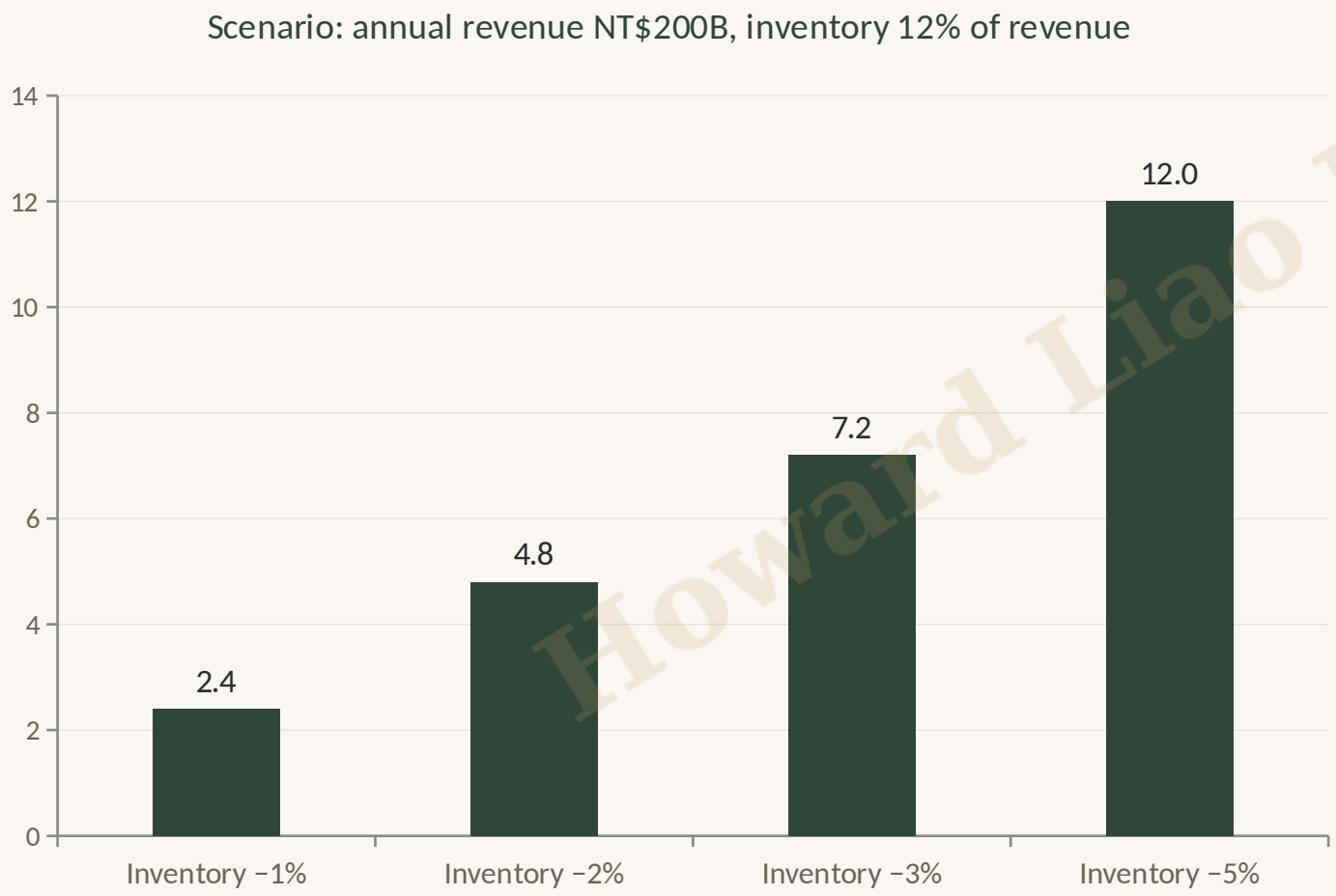
Area	Representative use cases	P and L lines affected	Priority
Supply chain	Shortage alerts, kit-readiness and alternate-part recommendations, demand forecasting	Inventory, line-stop losses from shortages	A
Manufacturing	Work-order scheduling recommendations, yield prediction, preventive equipment maintenance	Capacity utilization, scrap	A
Quality	Failure analysis knowledge assistant, automatic 8D summaries for customer complaints	Cost of quality, complaint cycle time	A
R and D	Specification and standards search, design review assistant, test report analysis	R and D cycle time	B
Finance	Month-end anomaly analysis, cross-currency forecasting, audit sampling	Labor cost, decision speed	B
Sales	RFQ and quotation analysis, contract clause comparison	Quotation cycle time, gross margin	B
IT	AI code review, test generation, service desk agent	IT cost, delivery speed	C

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AI investment committee: chaired by the CIO with business-group heads and the CFO, deciding quarterly which use cases enter or exit; use cases below the threshold stop and resources move on.

Illustrative benefit: working capital released by shortage alerts

Illustrative model, not LITEON data; to be replaced with CFO-confirmed baselines after I join



How to read this chart

Inventory of NT$24B: every 1% reduction releases about NT$240M of working capital.

At a 6% cost of capital, a 3% reduction yields an annualized benefit of about NT$43M, plus fewer line stops from shortages.

Actual figures will follow baselines confirmed by the CFO after I join.

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04

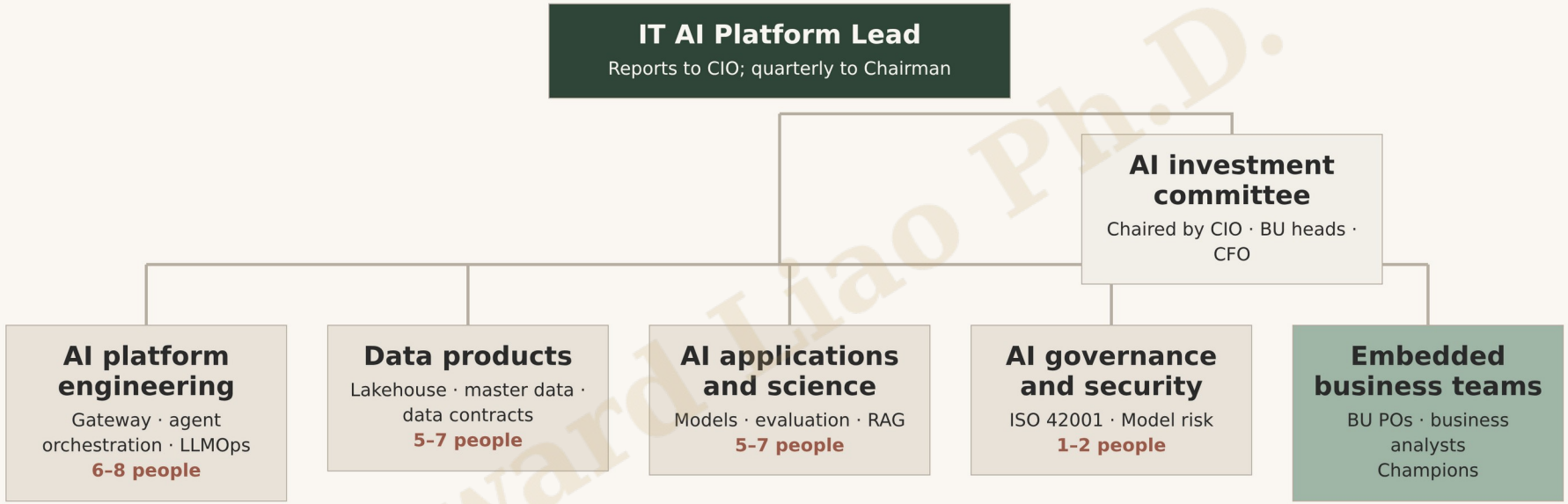
Organization, governance and onboarding plan

People, guardrails and the first 180 days

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AI organization: central platform + embedded business teams

About 17–24 people in year one, from internal transfers and external hiring



Technical lead pipeline

Competency model · quarterly architecture review · one successor per lead

PO Academy

Business leaders learn to write use-case financial assumptions; graduate by launching one use case; 30 in year one

Champions network

1–2 seed members per department to promote and report issues

The central platform provides standards and components; business groups build their own use cases — IT is not the bottleneck

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Business-led PO Academy and AI-native ways of working

Leaders learn first, IT pilots first, then scale what works

L1 Literacy and personal use

AI usage rules, data classification, verification habits; AI workflow training for managers

Output: everyone can use it and knows what not to do

L2 Department processes and agents

Each department picks 1–2 processes, with the business as PO and IT providing the platform

Output: measurable department use cases

L3 Cross-department redesign and scale-out

Cross-department agent integration, shared knowledge base, Champions network

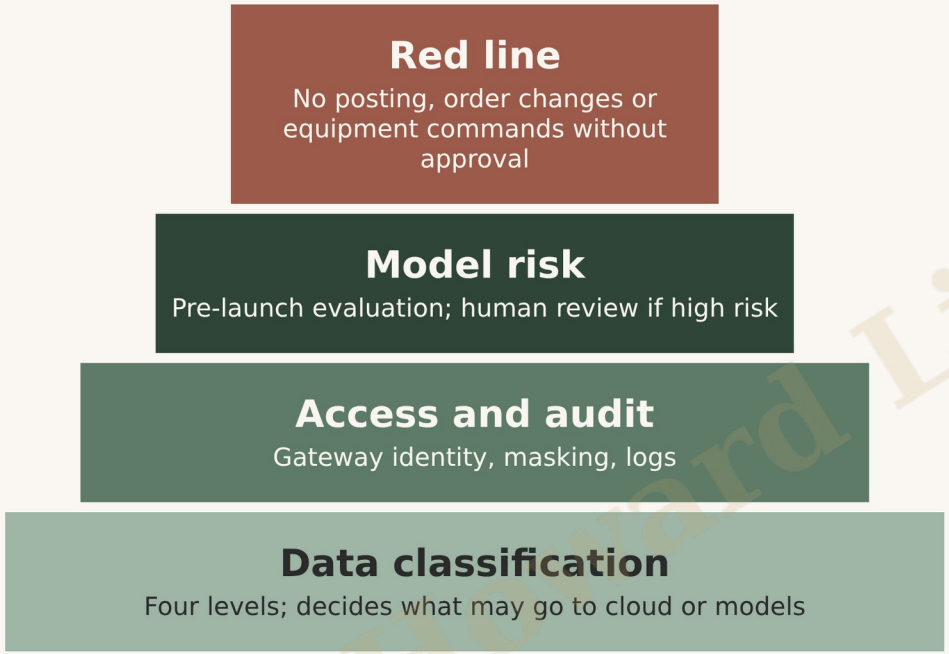
Output: organization-level value

- Audience: business process owners and managers, not IT staff
- Content: what AI can and cannot do, use-case financial assumptions, acceptance criteria, working with the platform team
- Certification: graduation requires launching one use case; target of 30 certified POs in year one

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AI governance, security and key risks

ISO 27001 as the base, ISO 42001 as the extension, IEC 62443 guarding OT



ISO 27001 as the base, ISO 42001 as the extension, IEC 62443 guarding OT

Competing for resources with the S/4HANA go-live
Before 2027 Q1, only use cases that do not touch SAP (quality, R and D knowledge)

Insufficient data quality
Build data products and unified definitions first, then models

PoC stuck at PoC
Define go-live criteria, PO and P and L line before starting

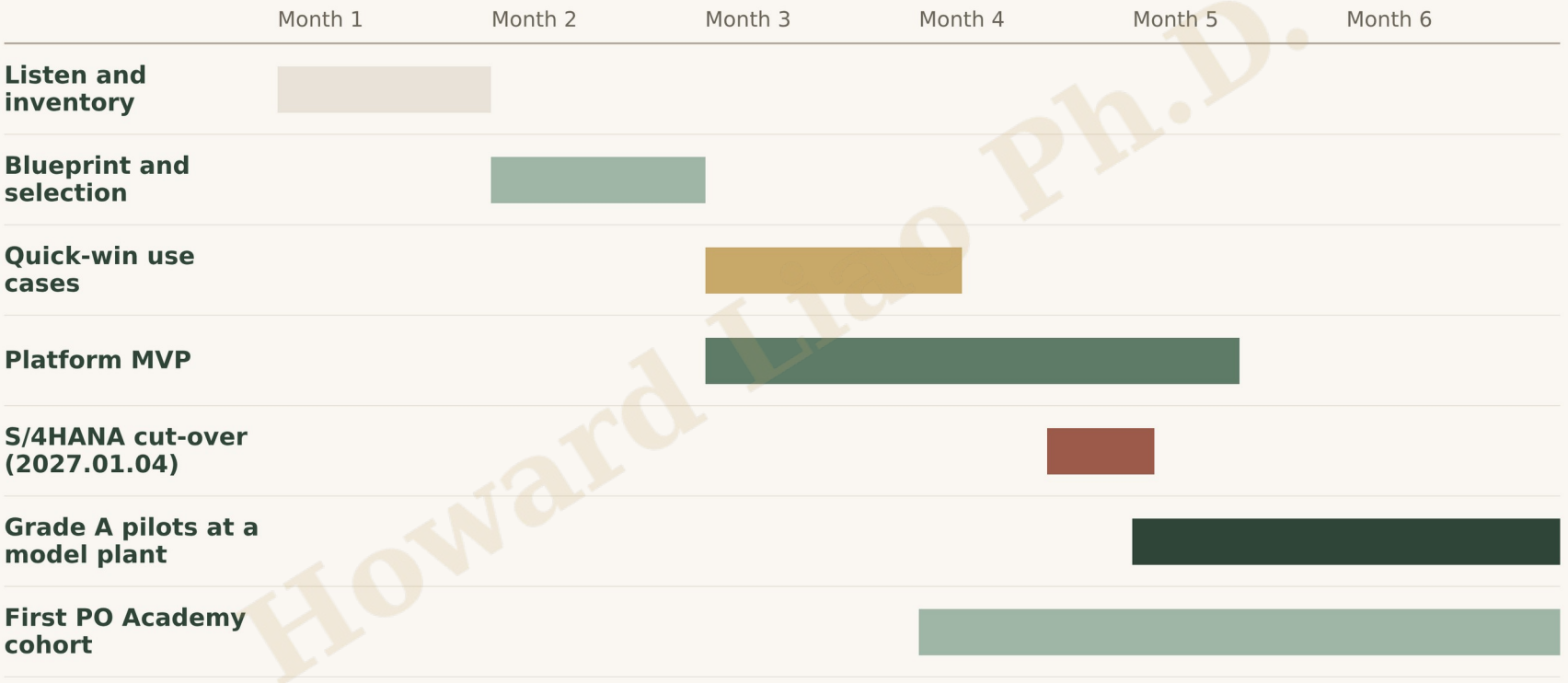
Shadow AI
Provide a good official platform plus usage rules, rather than only prohibiting

Runaway compute cost
Token/GPU cost allocated by BU, with quotas and monthly reports

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First 180 days: aligned with the S/4HANA cut-over

Listen → decide → first results → scale



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Days 1–30 · Listen
AI asset map and current-state diagnosis

Days 31–60 · Decide
AI platform blueprint, financial assumptions for top 5 use cases

Days 61–90 · First results
Demonstrable results, first quarterly report

Days 91–180 · Scale
New use-case launch time down to weeks

Year-one KPIs and the reporting rhythm to leadership

Baselines and targets agreed within 60 days of joining

Category	Metric	Direction
Economic value	Verified annualized benefit (confirmed by the CFO)	Targets agreed within 60 days of joining
Platform	Number of live use cases; time to launch a new use case	≥ 10; ≤ 4 weeks
Adoption	Monthly active users of the AI platform as a share of employees	Rising every quarter
Organization	Certified POs; successors for technical leads	30; one per lead
Governance	Use-case risk assessment completion rate; major security incidents	100%; zero
Cost	Cost per thousand requests; compute budget attainment	Down every quarter; ±10%

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Reporting rhythm

Monthly

AI value dashboard

Quarterly

AI investment committee

Semi-annually

Report to the Chairman

05

Track record and background

Outcomes measured in operating metrics

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Eight numbers: what I deliver is business results

Business results over 25+ years

+15% **Product yield** Hongyan Technology | AI defect prediction	**+18%** **OEE** Hongyan Technology | Edge AIoT	**−25%** **IT operating cost** Hongyan Technology | System consolidation	**−30%** **Multi-cloud TCO** GameSparcs (6542) | FinOps
Zero downtime **Core services** GameSparcs (6542) | Platform migration	**−40%** **Delivery Lead Time** Sheng Xin / Sheng Qi Network | AI code review	**−30%** **Security incidents, year-on-year reduction** Sheng Xin / Sheng Qi Network | Zero trust	**+55%** **Process automation** Sheng Xin / Sheng Qi Network | Agentic AI

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Three representative cases and what they mean for LITEON

Manufacturing AI · Platform · Governed Agents

Hongyan Technology | IT Director

Manufacturing AI built on an integrated core

+15% Yield
+18% OEE
−25% IT operating cost

- SAP S/4HANA standard functions first (Clean Core), connected with MES, PLM and APS
- Edge AIoT data platform covering 1,000+ machines, with AI defect prediction and predictive maintenance
- Planned OT/IT segmentation per IEC 62443; built B2B EDI for brand customers

For LITEON: AI extension after S/4HANA go-live, MES alternate-part and kit-readiness recommendations, replication template for new plants

GameSparcs (6542) | Director of Information Technology

Platform engineering with zero downtime

Zero downtime Core services
−30% Multi-cloud TCO
×2 Release speed

- Migrated core services to Kubernetes with CI/CD, halving the release cycle
- Built a global data management platform with cross-region clusters
- Introduced FinOps; established ISO 27001 and a zero-trust architecture

For LITEON: Move from departmental AI tools to a shared platform, running old and new in parallel with rollback

Sheng Xin / Sheng Qi Network | VP of Technology/CIO

AI governance and agents in production

+55% Automation efficiency
−40% Lead Time
−35% Defect escape

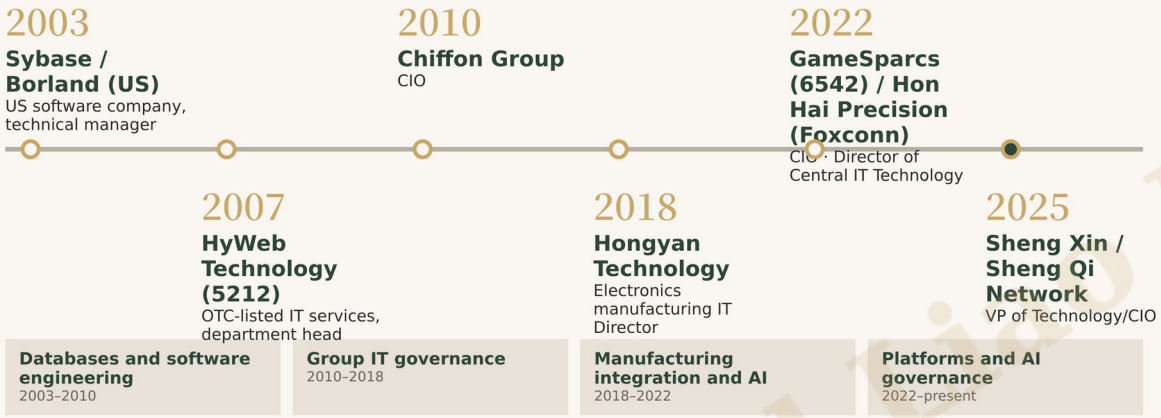
- Chaired the architecture review board and set API-first and integration standards
- DevSecOps quality gates + AI code review and test generation
- Set AI usage rules and data classification under ISO 42001; AI workflow training for managers

For LITEON: A direct template for LITEON's AI usage rules, PO Academy and agent rollout

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Background

Education · Career · Credentials



Education and certifications	
Ph.D.	Ph.D. in IT Management (Chaoyang University of Technology, 2014)
Master's	M.S. in Information Science (National Chung Hsing University, 2006)
Research	First author in an SCI journal (cryptography, 2014)
Certifications	ISO 27001 and ISO 42001 Lead Auditor; PMP
Proof	Global cloud provider APAC customer case; CIO magazine cover interview



Dr. Howard Liao

25+ years in IT · 15+ years in leadership

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NEXT STEPS

Translating technology into the language of business and risk

Help LITEON move AI from point solutions to a reusable platform, so every dollar invested shows a visible return.

Dr. Howard Liao

Proposed next steps

- Arrange interviews with business-group heads
- Visit a model plant and the MES shop floor
- Confirm the S/4HANA integration timeline
- Jointly set year-one KPI baselines

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